

Software Are Not Created Equal

Airtable just sold for 19 cents on the dollar — but only after it quietly kept the good part. That is the whole story of 2026.

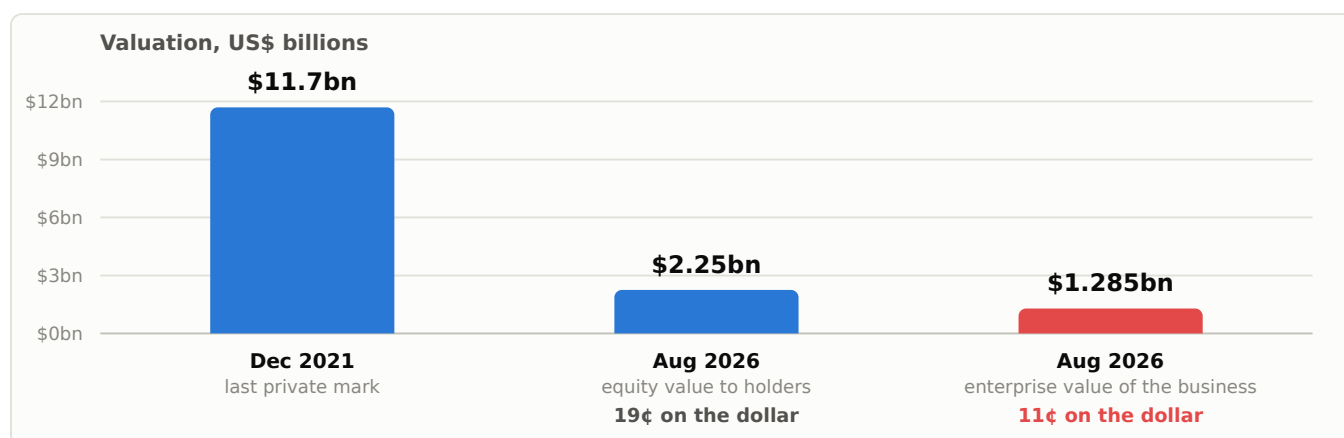
5 August 2026 · Market data as of the 4 August close · Grounded in reporting from *The Information* and *TheWhiteBox*

Here is the detail almost everyone missed.

On 4 August, Italian roll-up Bending Spoons agreed to buy Airtable at an enterprise value of **\$1.285 billion** in cash — an implied equity value of about **\$2.25 billion**, once you add back the ~\$965 million of unspent venture cash still sitting on the balance sheet. Airtable's last private mark was **\$11.7 billion**, in December 2021. Round numbers: **19 cents on the dollar**, at roughly **2.7× ARR** on ~\$480m.

And note what that 19 cents is made of: **43% of it is investors' own unspent cash handed back to them**. The *operating business* — 500,000 organisations, 80% of the Fortune 100, ~90% gross margins, 170% enterprise net retention — changed hands for \$1.285bn against an \$11.7bn mark. That is closer to **11 cents**.

What \$11.7bn of paper became



Source: Bending Spoons; TechCrunch; *The Information*, 4 Aug 2026. The gap between the middle and right bars is returned venture cash, not enterprise value.

But read *The Information's* reporting again. *Days before the sale, Airtable spun HyperAgent — the AI agent platform it launched only this spring — out into a standalone company*. Per that reporting, founder Howie Liu has told investors he plans to run HyperAgent full-time once the deal closes, and that it will raise its own funding.

So the SaaS business got sold at close to a 90% haircut. The AI business got carried out the back door and will raise its own round.

That is not a company failing. That is a company **sorting itself** — and the market doing exactly the same thing to the entire software complex, in public, all year.

The thesis of this note is simple: **software is no longer an asset class**. It is at least three, and they are trading like they belong on different planets. The sorting rule looks like this:

Software that meters value survives.

Software that meters headcount doesn't.

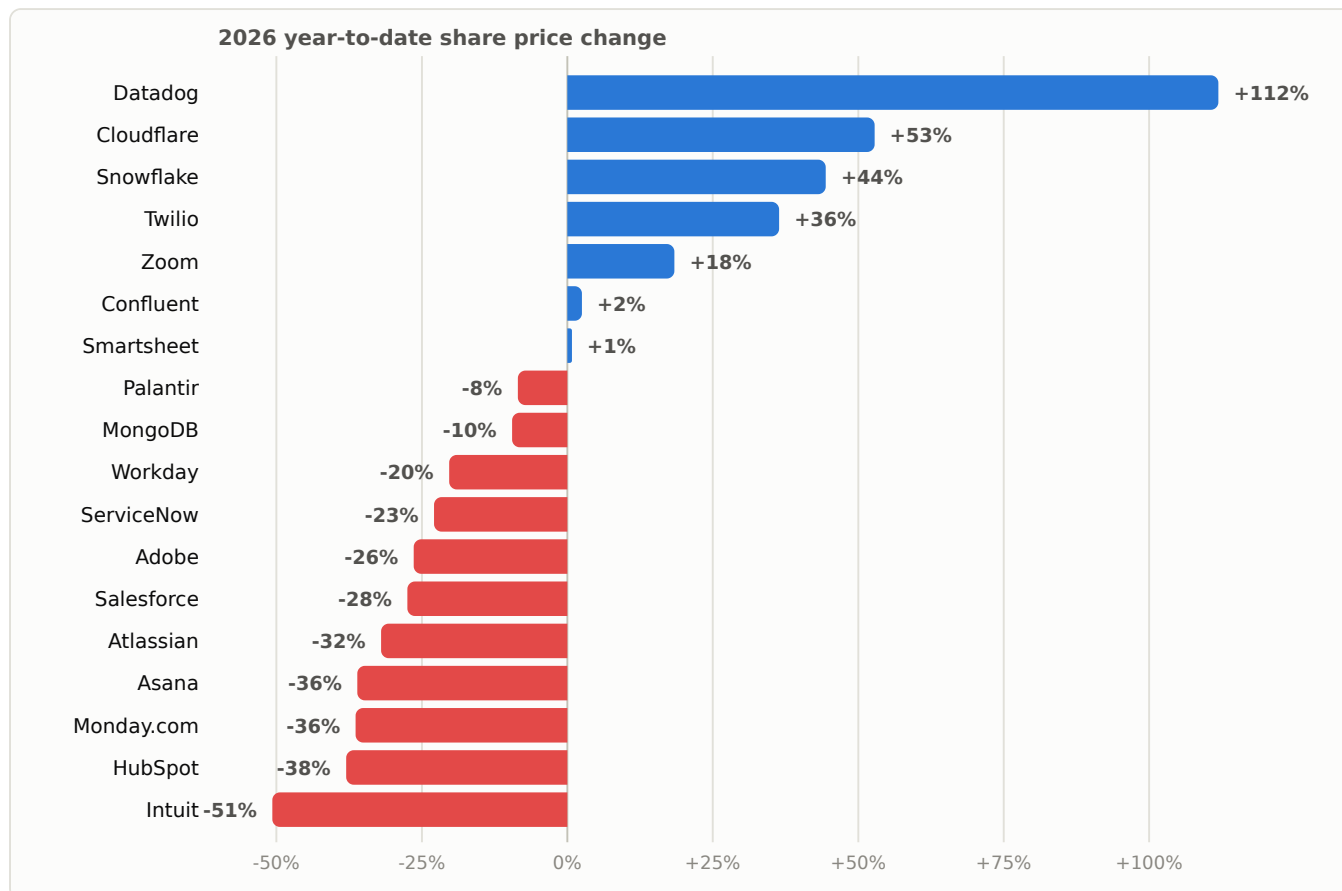
Software that sits above the models and keeps the cash gets a premium.

Software that pays for inference to defend a subscription it can't reprice gets bought by Bending Spoons.

1 This is not a software bear market. It's a divorce.

Look at the dispersion inside the same sector, on the same day, under the same macro.

Same tape. Same AI. A 163-point spread.

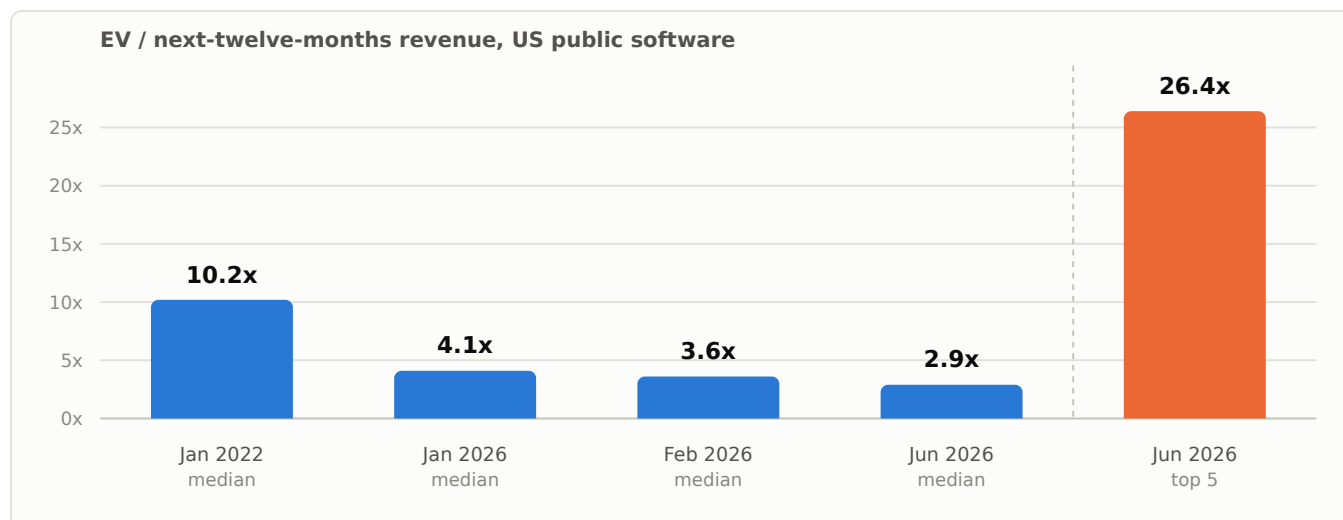


Source: stockanalysis.com, 4 August 2026 close. Year-to-date price change. The names above the line sell consumption or infrastructure; almost everything below it sells seats.

The aggregate hides it. IGV, the software ETF, is only **-3.5%** year to date — but that number is being carried by a handful of names that are barely "application software" any more. Palo Alto is **+99%**; CrowdStrike **+80%**. Together with Microsoft and Palantir they anchor a fund whose top ten holdings are ~59% of assets. The index isn't measuring software. It's measuring the exceptions.

And the multiples have completely decoupled. Per Jamin Ball's *Clouded Judgement* (19 June 2026): the **median public software company trades at 2.9× EV / next-twelve-months revenue**. The **top five trade at 26.4×**. A nine-fold spread inside one sector — what one observer called "two markets sharing a Bloomberg terminal."

The de-rating, and the bifurcation



Source: Clouded Judgement (Jamin Ball), 21 Jan 2022, 30 Jan 2026, 6 Feb 2026, 19 Jun 2026. Consistent methodology across all four dates.

Ball's line from January was blunter: *"Confidence in the SaaS business model has shattered."*

The scariest number of all, though, is this one: **WCLD — the cloud software ETF — has a five-year annualised return of -7.98%**. Half a decade of owning "the future of enterprise" has destroyed capital in nominal terms. Not underperformed. *Destroyed*.

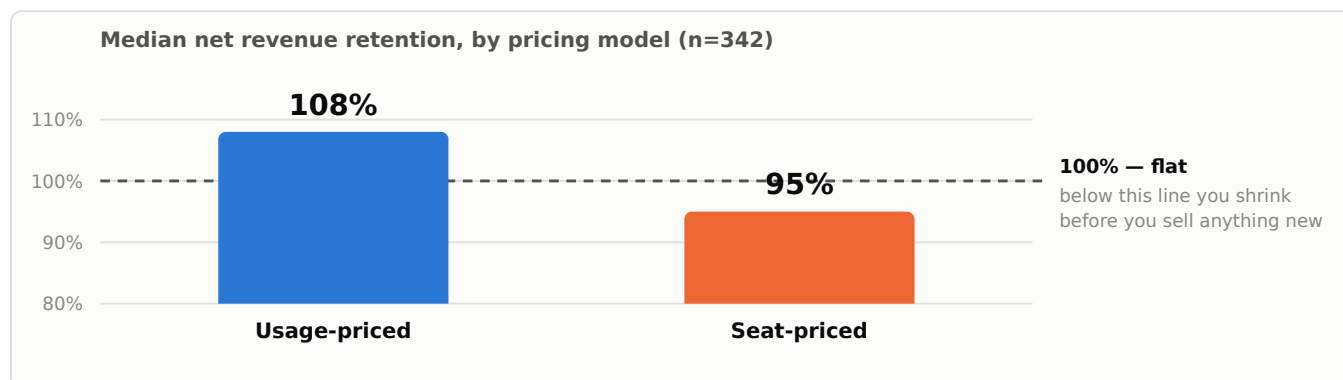
In fairness: WCLD is +8.4% **this year**, actually ahead of IGV. The damage was done in 2022–24. But that is rather the point — the de-rating did not start with AI. AI simply removed any hope of getting the multiple back.

2 The three questions that separate winners from corpses

i. Do you charge per human, or per unit of work?

This is the cleanest dividing line in the data. Benchmarkit's 2026 benchmarks (n=342): **usage-priced software has 108% median net revenue retention. Seat-priced software has 95%**. A structural 13-point gap.

The 13 points that decide everything



Source: Benchmarkit, 2026 B2B SaaS & AI-Native Benchmarks, June 2026, n=342.

Ninety-five percent net retention means you shrink every year before you sell anything new. It means every AI-driven headcount reduction at your customer is a direct debit from your ARR. Seats were a proxy for value when work was done by people. AI broke the proxy.

Watch who is moving. Microsoft told analysts on 29 July that Copilot revenue accelerated **over 60% quarter-over-quarter**, and attributed it to a June business-model change aligning pricing with usage. Its own explanation for the beat: "*stronger-than-expected GitHub Copilot consumption*." Microsoft 365 Copilot paid seats rose 50% to **30 million**, with net adds more than doubling sequentially. But the seats aren't the story. The meter is.

ii. Are you charging for the AI, or eating it?

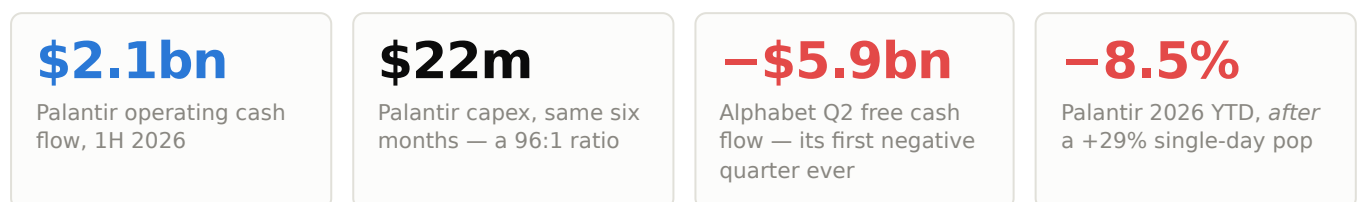
Benchmarkit again, and this is the number that should terrify half the sector: **67% of B2B SaaS companies that have shipped AI features do not charge incrementally for them**. Only 29% monetise AI separately.

Two-thirds of the companies that shipped AI have taken on gross-margin-destroying inference costs as a *defensive* measure — to stop churn, not to grow revenue. That is not a product cycle. That is a tax.

Salesforce is the cleanest case study. Agentforce ARR hit **\$1.2 billion, +205% year-on-year** in Q1 FY27. Genuinely impressive. Total Salesforce revenue that quarter: **+13%**. FY27 guidance: **+11%**. The AI line is growing 200%; the company is growing 13%; the stock is down 27.5% this year. The market has done that arithmetic and concluded the AI attach is a **replacement**, not an addition.

iii. Whose compute are you burning?

Palantir is the extreme answer. Q2 2026 revenue **\$1.935bn, +93%** — US commercial **+149%**. But the number that matters is the cash conversion.



Palantir doesn't train frontier models. It sells the layer on top of everyone else's. Martin Peers at *The Information* called it "*the Nvidia of AI software*." Fair.

Now the uncomfortable part, and I want to be honest about it because it cuts against the easy version of this thesis: **Palantir is still down ~8.5% year to date** — and that is *after* a +29% single-day move on 4 August. It was -29% YTD going into the print.

Even the perfect AI software company got de-rated. At 62× EV/sales against a 2.9× sector median, it was priced for exactly what it delivered. The market is no longer paying for AI narrative. It is paying for cash, and it is discounting it hard.

3 What "disruption" actually looks like on the ground

Abstractions are cheap. *The Information's* reporting is not. Laura Bratton found five small companies that had cancelled Salesforce or HubSpot within six months — plus one very large one cutting ServiceNow:

- **Greenleaf Management** (55 people, Atlanta real estate): replaced Salesforce CRM with an app built in Replit and Claude Code. Saved ~\$100,000/year. The replacement costs **\$300 a month**. They also exited Entrata and Yardi.
- **Hank AI** (24 people): let a **\$40,000/year** Salesforce contract lapse; built the replacement with Claude Code for an estimated **\$500/year**.
- **Atonom** (45 people): same story — a \$40,000 Salesforce contract replaced by a Lovable-built CRM at **\$1,200/year**.

- **Seattle Seahawks** (70 people): four engineers, four months, replaced Salesforce *and* AXS ticketing. Revenue since March **up ~25%**.
- **Sanofi** (75,000 people): aiming to cut **80%** of the work it currently handles through ServiceNow, other apps and outsourcers — targeting savings of at least **\$10 million a year**.

That last one matters most, because the standard rebuttal is "fine for a rugby club, impossible at an enterprise." Sanofi is not a rugby club.

The honest counterweight, from the same article. Loka CEO Bobby Mukherjee, who does this for a living: ripping out SaaS "is still a last resort" because it "pulls engineering attention away from things that actually differentiate the business." His verdict: "Nobody serious is predicting the death of HubSpot or Salesforce." ServiceNow points to a **97% renewal rate**. Salesforce's Srinu Tallapragada: "you can't vibe code your way to enterprise reliability and security."

They are right about the timeline. They may be wrong about the terminal value. Both can be true — and equity markets price terminal value, which is precisely why multiples compressed before revenue did.

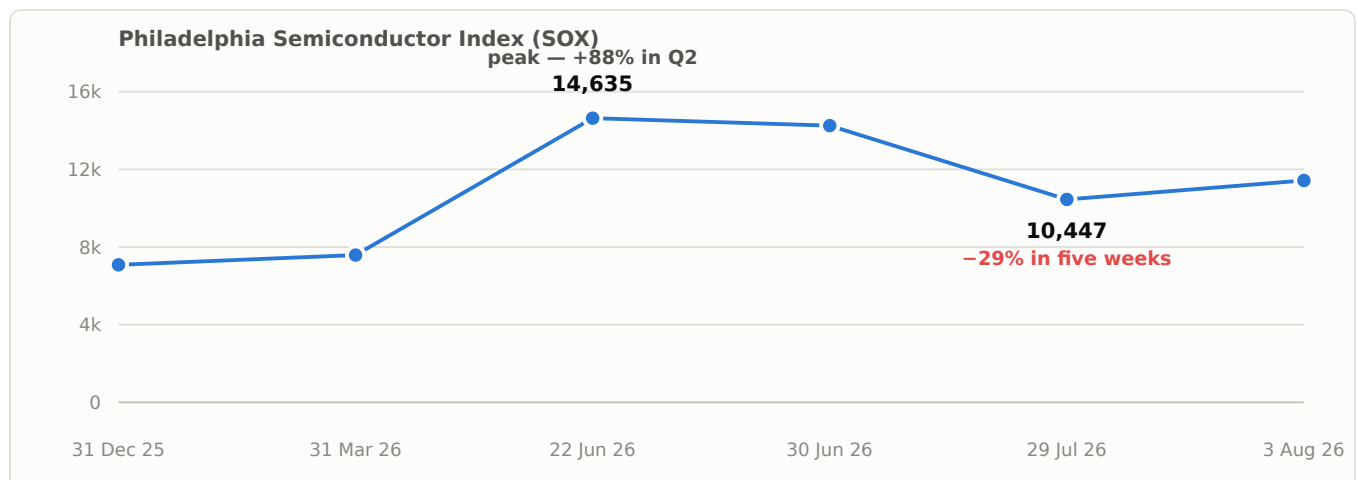
4 The hardware tether, and why record results got sold

You cannot analyse AI software without the silicon, because the same balance sheets now appear on both sides of the trade.

The scale is real. Nvidia did **\$215.9 billion** in FY2026 revenue against **\$27.0 billion** three years earlier — 8×. TSMC did **~\$40bn** in Q2 at a **67.7% gross margin** and *raised* 2026 capex guidance to **\$60–64bn**. ASML is expanding EUV capacity **~30%**.

And in July, all of them got hammered.

Record results, sold anyway



Source: FRED series NASDAQSOX, daily closes. Q2 2026: +87.8%. 22 June peak to 29 July trough: -28.6%.

TSMC fell on a record print. ASML fell on raised guidance. Samsung lost north of **\$80 billion** of market value in a single session after reporting a roughly **19-fold** profit increase.

TheWhiteBox's Ignacio de Gregorio nailed the diagnosis: "almost every assumption supporting the semiconductor rally came under pressure at the same time." Meta hinting it might rent out spare capacity broke the scarcity story. Higher capex from TSMC and ASML implied *more future supply* at exactly the moment investors started doubting the demand.

And Alphabet's first-ever negative free-cash-flow quarter (~\$5.9bn, capex guided to \$195–205bn) flipped the reflex: higher hyperscaler spending stopped being automatically bullish for chips.

Then there is the circularity, which is where hardware and software stop being separate industries at all:

- **Nvidia is in talks to backstop ~\$250 billion** of financing for OpenAI's ~\$500bn data centre, with a separate ~\$350bn chip-financing discussion. Nvidia's balance sheet becomes the collateral that lets lenders underwrite OpenAI's lease.
- **Nvidia put \$800 million into Reflection AI** and, per *The Information*, Jensen Huang personally steered it away from coding tools toward open-source models — models that run on Nvidia chips. Nearly a year later Reflection still hasn't shipped, while Kimi K3, GLM-5.2 and DeepSeek V4 lead the open field.
- **"Other income"** — marked-up stakes in private AI companies and, for Alphabet, the SpaceX listing — was **60% of Google's, 51% of Amazon's and 27% of Nvidia's** Q1 2026 profits, per TheWhiteBox. On a trailing basis, stripping it out would take Amazon's P/E from ~21.6× to ~40×, and Alphabet's from ~17.4× to ~35×.

Credit is voting too. Oracle's 5-year CDS sits around **200–220bp**, up from 144bp at the start of 2026 — the widest since 2008. Nvidia's has roughly **doubled**, from 41bp in mid-June to ~80bp. Citadel Securities now projects **\$500bn+ of chip-financing debt by 2028**. The 30-year Treasury hit **5.27%** on 31 July, its highest since 2007.

5 The unevenness is the point

If AI were a rising tide, none of this would be happening. Instead:

\$9bn→\$47bn Anthropic run-rate revenue, Dec 2025 to May 2026	\$0.1→\$2bn Cursor ARR, Jan 2025 to Feb 2026	13% Median public software company's growth rate	2.9× ...and what the market pays for it, on revenue
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And the money is now routing *around* software entirely to buy the thing software used to sell. Per Stephanie Palazzolo's reporting, data-labelling startup micro1 is paying **Robby Hogle, who runs a 14-person HVAC firm in Troy, Michigan, \$1,000 per task** — potentially **\$150,000 this quarter** — to teach models how to process his vendor invoices, credit applications and payroll. The frontier labs are not buying back-office software. They are buying the *workflow itself*, wholesale, from the people who do it.

Hogle knows exactly what he is participating in: *"it's a very temporary moment in time for us to be able to do this."*

Even distribution has stopped protecting incumbents. Zoom and Google Meet both ship native AI note-taking, free, to hundreds of millions of users. People pay for **Granola** instead — a startup that quintupled headcount to nearly 100 and was valued at \$1.5bn in March. Its Apple Watch app did something Apple's own AI roadmap hasn't managed in years. Co-founder Sam Stephenson, to *The Information*: *"We've had a lot of emails saying, 'I'm gonna go out and buy a Watch because of this.'"*

6 Where I could be wrong

I would rather flag this than pretend.

Not all AI-native software is good software. Median net retention for AI-native products at sub-\$50/month price points is *worse* than SaaS. Klarna's agent-first strategy publicly backfired. An AI consultancy founder told *The Information* that

call centres in the Philippines remain **cheaper than voice AI** for high-volume work.

The equity "AI winners" bucket is narrower than the narrative. AppLovin -38% YTD. Shopify -23%. Figma -27% — and -78% over a year, despite 46% revenue growth and 139% net dollar retention. Duolingo -22%. Being AI-adjacent bought nobody a free pass in 2026.

And the incumbents have real defences. Palantir's Alex Karp is monetising fear brilliantly — *"our customers have declined to become vassal states of the language labs"* — and every enterprise vendor is now running that play. It is self-serving. It is also not wrong: security firm Rubrik found a Copilot flaw this year, since patched, that could have tricked the AI into leaking files and email out of a customer's Microsoft 365 tenancy, and told *The Information* the attack would have worked on any of Copilot's **20 million-plus** corporate customers. Bolting AI onto a legacy suite creates attack surface that did not exist before. Trust and integration are still a moat. Just a lower one than a 10× revenue multiple assumed.

7 The takeaway

Software's problem was never AI. It was that a decade of zero rates let a business model — *sell a seat, renew forever, expand 20% a year* — masquerade as a moat.

AI did not invent that fragility. It removed the thing that hid it: the assumption that the number of humans doing knowledge work only ever goes up.

Which brings us back to the sorting rule at the top of this note. Meter value and you survive; meter headcount and you don't. The distinction is no longer academic — it is the difference between a 26× multiple and a phone call from Bending Spoons.

Airtable already told us how this ends. They spun out the AI, sold the SaaS, and walked away with 19 cents.

Sources. *The Information* — Dealmaker ("Inside the Airtable-Bending Spoons Sale," 4 Aug 2026); "How Small Firms Use Claude to Quit Salesforce" (6 Jul 2026); The Briefing ("Palantir's Rocket-Ship Growth," "Amazon's Cloud Surge Wins Over Wall Street," "Meta Could Learn Cost Control From Microsoft"); Applied AI ("New Microsoft Copilot Security Flaws," "How Firms Like Coinbase Are Building Coding Agents"); AI Agenda ("Why Data Labeling Startups Are Paying HVAC Companies \$150,000 For Data," "Google DeepMind Exec Says Unprecedented Capex Is Actually a Bet On 'RSI'"); The Weekend ("Why Apple Should Buy Granola"); "Nvidia Bet on Reflection for Open-Source AI." TheWhiteBox, "Why Markets Don't Trust AI" (Ignacio de Gregorio, 4 Aug 2026). Clouded Judgement (Jamin Ball). Benchmarkit 2026 B2B SaaS & AI-Native Benchmarks. Company filings, press releases and earnings-call transcripts; FRED; stockanalysis.com. Market data as of the 4 August 2026 close.

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